10. INCOME TAXES

Temporary differences between the consolidated financial statement carrying amount and tax basis of assets and liabilities that give rise to significant portions of the deferred income tax asset at December 31, 2001 and 2000 are as follows:

	Year ended December 31,	
	2001	2000
Loss reserve discounting	$15,487,210	$14,278,749
Unearned premium reserve limitation	6,520,646	4,833,178
Postretirement benefits	2,187,059	2,039,914
Other policyholders' funds payable	165,533	247,742
Net operating loss carry forward	3,481,087	1,060,347
Minimum tax credit	2,158,360	2,243,133
Other, net	457,464	524,725
Total deferred income tax asset	30,457,359	25,227,788
Deferred policy acquisition costs	(7,477,235)	(5,316,496)
Net unrealized holding gains	(4,042,595)	(3,632,808)
Other, net	(608,722)	(833,233)
Total deferred income tax liability	(12,128,552)	(9,782,537)
Net deferred income tax asset	$18,328,807	$15,445,251

At December 31, 2001, the Company has $9,945,962 of net operating loss carry forwards, of which $4,809,789 and $5,136,173 will expire, if unused, in years 2020 and 2021, respectively.

Based upon anticipated future taxable income and consideration of all other available evidence, management believes that it is "more likely than not" that the Company's net deferred income tax asset will be realized.

The actual income tax benefit for the years ended December 31, 2001, 2000 and 1999 differed from the "expected" tax (benefit) expense for those years (computed by applying the United States federal corporate tax rate of 35 percent (34 percent for 2000 and 1999) to (loss) income before income tax benefit) as follows:

	Year ended December 31,		
	2001	2000	1999
Computed "expected" tax (benefit) expense	$(1,939,658)	$ 361,968	$(2,037,033)
Increases (decreases) in tax resulting from:			
Tax-exempt interest income	(1,509,839)	(1,673,566)	(2,306,517)
Change in accrual of prior year taxes	-	(470,000)	-
Change in valuation allowance	-	-	(800,000)
Proration of tax-exempt interest and dividends received deduction	37,740	193,123	150,159
Other, net	(23,990)	324,056	(193,898)
Income tax benefit	$(3,435,747)	$(1,264,419)	$(5,187,289)

During 1999 the valuation allowance was reduced as the result of the establishment of VEBA trusts that accelerated the postretirement benefit deductions and reduced the uncertainty of future realization of the tax benefits (see note 1).

Comprehensive income tax (benefit) expense included in the consolidated financial statements for the years ended December 31, 2001, 2000 and 1999 is as follows:

	Year ended December 31,		
	2001	2000	1999
Income tax (benefit) expense on:			
Operations	$(3,435,747)	$(1,264,419)	$(5,187,289)
Unrealized holding gains (losses) on revaluation of securities available-for-sale	409,790	3,632,808	(4,162,100)
Comprehensive income tax (benefit) expense	$(3,025,957)	$ 2,368,389	$(9,349,389)